

Stages of Accounting

1. Cash Book

2. Journal

3. Ledger

4. Trial Balance

5. Trading Account

6. Profit & Loss Account

7. Balance Sheet

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graph LR; C1[1. Cash Book] --> D[Double entry Book Keeping]; C2[2. Journal] --> D; C3[3. Ledger] --> D; C4[4. Trial Balance] --> D; C5[5. Trading Account] --> F[Final Accounts]; C6[6. Profit & Loss Account] --> F; C7[7. Balance Sheet] --> F;
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**Double entry
Book Keeping**

Final Accounts

3 types of A/c & Rules of double entry

1. **Personal A/c** : Debit the receiver & Credit the giver
2. **Real A/c** : Debit what comes in & Credit what goes out
3. **Nominal A/c** : Debit the expenses and losses & Credit the incomes and gains

Ex: Different accounting treatments

Transaction	A/c involved	Nature of A/c	Debit / Credit
1. Wage paid	Wages A/c	Nominal	Debit
	Cash A/c	Real	Credit
2. Dividend received	Cash A/c	Real	Debit
	Dividend A/c	Nominal	Credit
3. Building purchased	Building A/c	Real	Debit
	Cash A/c	Real	Credit
4. Furniture sold	Cash A/c	Real	Debit
	Furniture A/c	Real	Credit
5. Outstanding rent	Rent A/c	Nominal	Debit
	Outst. rent A/c	Personal	Credit
6. cash received from X	Cash A/c	Real	Debit
	X A/c	Personal	Credit
7. Capital added	Cash A/c	Real	Debit
	Capital	Personal	Credit

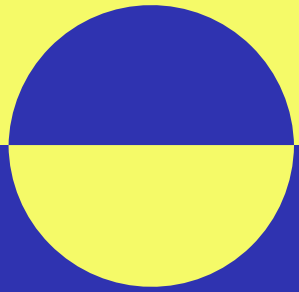
Stages of Double Entry System

Stage 1: All transactions are recorded in the Journal (or) Subsidiary books as and when they take place. These books are called the books of original entry (entering).

Stage 2: All entries in the journal (or) subsidiary books are posted to appropriate ledger accounts (posting).

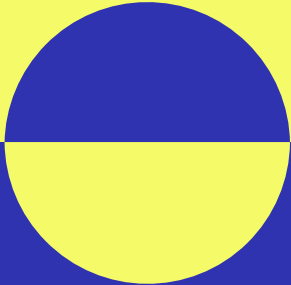
Accounts are closed at the end of the period to find out its balances and a list of such balances is prepared (trial balance).

Stage 3: Final accounts are prepared (Trading, P&L and B/s)



Trading Account

How to prepare the
Trading Account ?



Trading Account

- It is a statement prepared to highlight the trading result (gross profit) made during a particular period.
- Gross profit arises from sale & purchase activity.
- Gross profit is not the final profit as it does not consider all expenses of the business during a period (other than trade expenses are not covered yet..for example: Insurance premium paid)



Trading Account

- Trading account considers **only the direct expenses** and expenses occur before the point of sale.
- **Now what are direct expenses?** Expenses which can be identified with each unit of output are called direct expenses.
- Purchase, transportation, conversion, packing charges all are examples of direct costs.

Trading Account for the year ended 31-03-2019

<i>Particulars</i>	<i>Amount</i>	<i>Amount</i>	<i>Particulars</i>	<i>Amount</i>	<i>Amount</i>
	<i>Rs. P</i>	<i>Rs. P</i>		<i>Rs. P</i>	<i>Rs. P</i>
To opening stock		XXX	By sales	XXX	
To purchases	XXX		Less: returns	XXX	XXX
Less: returns	XXX	XXX	By Closing stock		XXX
To Direct expenses		XXX	By Gross loss c/d		
To Gross profit c/d					
Total		XXXX	Total		XXXX

How to prepare Profit & Loss A/c?

- It is a statement prepared to know the **net profit** (or) **net loss** occurred in a business during a particular period.
- **Net Profit / Loss = Gross Profit / Loss**
 - (plus) All non trading income
 - (minus) All non trading expenses

Preparing the Profit & Loss Account (Points to remember)

Title: Profit and Loss Account of M/s. X & Co. for the year ended 31-3-2014

Sides : Two sides (Debtor & Creditor)

Expenses : Shown in the left side (Dr)

Revenues: Shown in the right side (Cr)

To & By : Dr. side starts with To & Cr. Side starts with By

Net profit: If Dr. side total is less than the Cr. Side total, the difference is

called as net profit (credit balance).

Net loss : If Cr. side total is less than the Dr. Side total, the difference is

called as net loss (debit balance).

Profit & Loss Account of M/s X & Co. for the year ended 31-03-2019

Dr

Cr

Particulars	Amount		Particulars	Amount	
	Rs.	P		Rs.	P
To gross loss b/d (transferred from trading A/c)		XXX	By gross profit b/d (transferred from trading A/c)		XXX
Other office expenses			Other revenues		
To salary		XXX	By rent received		XXX
To rent		XXX	By interest received		XXX
To electricity		XXX	By discount received		XXX
To postage & telegrams		XXX	By commission received		XXX
To legal charges		XXX	By dividend received		XXX
To insurance premium		XXX	By miscellaneous income		XXX
To audit fees		XXX	By Net Loss transferred to capital account		XXX
Selling & distribution expenses					
To advertisement		XXX			
To salesmen salary / TA		XXX			
To godown rent		XXX			
To carriage outwards		XXX			
Financial expenses					
To interest paid		XXX			
To discount given		XXX			
To Net Profit transferred to capital account		XXX			
Total		XXXX	Total		XXXX

How to prepare a Balance Sheet?

- It is a statement prepared **to know the financial position** of a business (i.e., financial strengths & weakness of a business on a given date)
- It is revealed by the **assets & liabilities**
- **Assets:** All tangible and intangible items which have a realisable value
- **Liabilities:** All dues and loans payable
- **Assets (-) Liabilities = Capital**
(This would show the strength or net worth of the business)

Preparing the Balance Sheet (Points to remember)

Title : Balance Sheet of M/s. X & Co. as on 31-03-2014

Sides : Two sides (Liabilities & Assets)

Liabilities: Shown in the left side

Assets : Shown in the right side

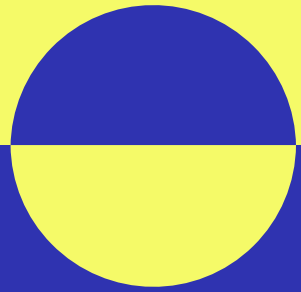
Total : Both sides should be equal (if they are not equal, we can understand that the Balance Sheet is not correct)

Balance Sheet of M/s X & Co. as on 31-03-2014

<i>Liabilities</i>			<i>Assets</i>		
	<i>Rs.</i>	<i>P</i>		<i>Rs.</i>	<i>P</i>
Fixed Liabilities			Fixed Assets		
Capital	XXX		Land		XXX
Add: Net Profit transferred from Profit and loss account	XXX		Building	XXX	
Add: Additional capital			Less: Depreciation	XXX	XXX
			Machinery	XXX	
Less: Net Loss transferred from Profit and loss account	XXX		Less: Depreciation	XXX	XXX
Less: Drawings	XXX	XXXX	Vehicles	XXX	
Term loan from banks & FIs		XXX	Less: Depreciation	XXX	XXX
Other LT borrowings / dues		XXX	Furniture	XXX	
			Less: Depreciation	XXX	XXX
Current Liabilities			Intangible Assets		
Sundry creditors		XXX	Goodwill		XXX
Bills payable		XXX	Patents		XXX
Bank over draft		XXX	Copyright, etc		XXX
Outstanding expenses		XXX	Current Assets		
Advances received, etc		XXX	Cash on hand		XXX
			Cash on bank		XXX
			Sundry debtors		XXX
			Bills receivables		XXX
			Closing stock		XXX
			Prepaid expenses		XXX
Total		XXXX	Total		XXXX

Example 1: From the following transactions of Woodcraft Company of Mr. Ganesh
Prepare the **journal entries, ledger postings and trial balance.**

- Sep 1:** Began business by investing cash Rs. 10,000
- 4 :** Paid 2 month rent in advance for a shop Rs. 2000
- 5 :** Bought equipment for Rs.1200
- 7 :** Bought supplies on credit Rs.700
- 10 :** Received payment for remodeling a kitchen Rs. 8600
- 14 :** Paid for newspaper advertisement Rs. 1400
- 17 :** Received payment for furnishing an office room Rs. 11200
- 23 :** Billed customers for work done Rs. 13100
- 25 :** Paid wages to assistant Rs. 1500
- 28 :** Paid electricity bill Rs. 240
- 29 :** Received part payment from customers against 23rd bill Rs. 4800
- 30 :** Paid dividend Rs. 2500



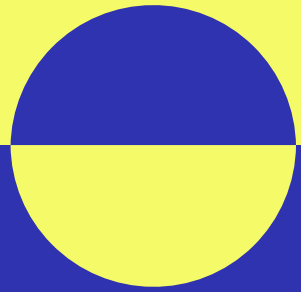
JOURNAL ENTRY

Journal Entry

<i>Date</i>	<i>Particulars</i>	<i>Amount</i>		<i>Amount</i>	
		<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
2014 Sep 1	Cash A/c Dr To Share capital A/c (Cash Invested)	10000		10000	
4	Prepaid rent A/c Dr To Cash A/c (Rent paid in advance)	2000		2000	
5	Equipments A/c Dr To Cash A/c (Equipment bought for Cash)	1200		1200	
7	Supplies A/c Dr To Creditor A/c (Bought supply on credit)	700		700	
10	Cash A/c Dr To Revenue from services A/c (Cash received for kitchren remodeling)	8600		8600	
14	Advt. Expenses A/c Dr To Cash A/c (Paid advt charges)	1400		1400	

Journal Entry

<i>Date</i>	<i>Particulars</i>	<i>Amount</i>		<i>Amount</i>	
		<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
17	Cash A/c Dr To Revenue from services A/c (Cash received for office designing)	11200		11200	
23	Debtors A/c Dr To Revenue from services A/c (cash received for work done)	13100		13100	
25	Wage A/c Dr To Cash A/c (Paid asst wage)	1500		1500	
28	Electricity charges A/c Dr To Cash A/c (Paid elec. bill)	240		240	
29	Cash A/c Dr To Debtor A/c (Cash received from debtors)	4800		4800	
30	Dividend A/c Dr To Cash A/c (Paid dividend)	2500		2500	



LEDGER POSTING

Capital A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 1	Cash				10000			
Total							10000	

Cash A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 1	Share capital		10000					
4	Prepaid rent				2000			
5	Equipment				1200			
10	Revenue from services		8600					
14	Advt.expenses				1400			
17	Revenue form services		11200					
25	Wage paid				1500			
28	Elec. Bill paid				240			
29	Sundry debtors		4800					
30	Dividend paid				2500			
Total								

Rent A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>	<i>Credit</i>	<i>Balance</i>
			<i>Rs. P</i>	<i>Rs. P</i>	<i>Rs. P</i>
Sep 4	Cash		2000		2000
Total					2000

Equipment A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>	<i>Credit</i>	<i>Balance</i>
			<i>Rs. P</i>	<i>Rs. P</i>	<i>Rs. P</i>
Sep 5	Cash		1200		1200
Total					1200

Supplies A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>	<i>Credit</i>	<i>Balance</i>
			<i>Rs. P</i>	<i>Rs. P</i>	<i>Rs. P</i>
Sep 7	Cash		700		700
Total					700

Sundry Creditor A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 7	Cash				700		700	
Total							700	

Revenue from Services A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep10	Cash				8600		8600	
17	Cash				11200		11200	
23	Cash				13100		13100	
Total							32900	

Advertisement A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 14	Cash				1400		1400	
Total							1400	

Sundry Debtor A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 23	Revenue from service		13100				13100	
29	Cash for work done				4800		4800	
Total							17900	

Salary A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 25	Cash				1500		1500	
Total							1500	

Electricity Bill A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 28	Cash		240				240	
Total							240	

Dividend A/c

<i>Date</i>	<i>Particulars</i>	<i>JF No</i>	<i>Debit</i>		<i>Credit</i>		<i>Balance</i>	
			<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>	<i>Rs.</i>	<i>P</i>
Sep 30	Cash				2500		2500	
Total							2500	

Trial Balance, Sep 30, 2014

<i>Particulars</i>	<i>Debit</i>	<i>Credit</i>
	<i>Rs. P</i>	<i>Rs. P</i>
Capital		10000
Cash	25760	
Rent	2000	
Equipment	1200	
Supplies	700	
Creditor		700
Revenue		32900
Advertisement	1400	
Sundry Debtors	8300	
Salary	1500	
Electricity	240	
Dividend	2500	
	43,600	43,600

Example 2: From the details taken from Trial Balance of Mr. Ravi, prepare final accounts for the year ending 31st December 2014

<i>Particulars</i>	<i>Dr</i>	<i>Rs.</i>	<i>Cr</i>	<i>Rs.</i>
Stock on 1.1.2014		2000		
Purchase & Sales		20000	30000	
Returns		2000	1000	
Carriage		2000		
Rent		1000		
Interest			2000	
Salary		2000		
General expenses		1000		
Discount			500	
Insurance		500		

The closing stock on 31st Dec 2014 is Rs.5000

Trading Account for the year ended 31-12-2014

<i>Particulars</i>	<i>Amount</i>	<i>Amount</i>	<i>Particulars</i>	<i>Amount</i>	<i>Amount</i>
	<i>Rs. P</i>	<i>Rs. P</i>		<i>Rs. P</i>	<i>Rs. P</i>
To opening stock		2000	By sales	30000	
To purchases	20000		Less: returns	2000	28000
Less: Returns	1000	19000	By Closing stock		5000
To Carriage		2000			
To Gross Profit c/d		10000			
Total		33000	Total		33000

From the details taken from Trial Balance of Mr. Ravi, prepare final accounts for the year ending 31st December 2014

<i>Particulars</i>	<i>Dr</i>	<i>Rs.</i>	<i>Cr</i>	<i>Rs.</i>
Stock on 1.1.2014		2000		
Purchase & Sales		20000	30000	
Returns		2000	1000	
Carriage		2000		
Rent		1000		
Interest			2000	
Salary		2000		
General expenses		1000		
Discount			500	
Insurance		500		

The closing stock on 31st Dec 2014 is Rs.5000

Profit and Loss Account for the year ended 31-12-2014

<i>Particulars</i>	<i>Amount</i>		<i>Particulars</i>	<i>Amount</i>	
	<i>Rs.</i>	<i>P</i>		<i>Rs.</i>	<i>P</i>
To Rent		1000	By Gross Profit b/d		10000
To Salaries		2000	By Interest		2000
To General expenses		1000	By Discount		500
To Discount		1000			
To Insurance		500			
To Net Profit taken to Capital Account		8000			
Total		12500	Total		12500

Thanks